Clinical Trials & R&D Tax Relief

PRE-TRIAL CHECKLIST

Use this checklist to identify R&D tax considerations early, clarify arrangements and plan the evidence you will need before finalising a clinical trial. It covers five areas: which clinical trial costs may qualify; how CRO and sponsor contracts change who claims; evidence to keep from protocol to results; overseas work and subcontractor points; and questions to settle before a trial starts.

✓ CHECKED	? REVIEW	! ACTION
Understood and documented	Further analysis may be needed	Address before finalising

This is a readiness check, not an R&D eligibility score. One significant issue may warrant further review.

1 Which clinical trial costs may qualify?

GUIDANCE Not all clinical trials involve qualifying R&D. Assess whether the work seeks a scientific or technological advance through resolving uncertainty before identifying qualifying costs. Phases I–III commonly involve such work; Phase IV activities require careful assessment against the same criteria.

Not every cost associated with a clinical trial is qualifying for R&D expenditure. Each item should fall within a permitted cost category and relate to qualifying R&D activities.

Relevant payments made to subjects in return for participating in a qualifying clinical trial is a specific qualifying category.

Relevant employee/staff costs identified	☐
Payments to subjects of clinical trial identified	☐
R&D consumables identified	☐
Qualifying software, data licence and cloud costs considered*	☐
CRO and other contractor payments separately identified	☐
Externally provided workers (EPWs) identified	☐
Costs can be linked to qualifying R&D activities	☐

** Data and cloud costs must relate to direct R&D activities.*

? REVIEW	CRO invoices combine different services, or costs cannot readily be linked to R&D.

! ACTION	Obtain breakdowns of material CRO and third-party costs while the information is available.

2 CRO & sponsor arrangements: who may claim?

GUIDANCE For accounting periods beginning on or after 1 April 2024, contracted-out R&D rules apply. Who may claim is not determined simply by who performs or pays for the work. The parties, contract and surrounding circumstances must be considered.

- R&D within the trial identified ☐
- CRO agreement adequately describes the work ☐
- Sponsor and CRO responsibilities understood ☐
- Contractor and EPW arrangements distinguished ☐
- Contract and surrounding circumstances considered to determine whether the customer intended or contemplated R&D of this sort to meet its requirements ☐
- R&D tax treatment considered before signing ☐

? REVIEW R&D responsibilities are unclear, or several parties commission or perform the research.

! ACTION Review CRO agreements before signing where entitlement to claim is uncertain.

3 Is your technical evidence ready?

GUIDANCE Evidence should show the scientific/technological advance sought, the uncertainties encountered and how the work sought to resolve them.

- Scientific or technological advance documented ☐
- Baseline knowledge or capability established ☐
- Scientific or technological uncertainties identified ☐
- Protocols and amendments retained ☐
- Failures, unexpected results and changes captured ☐
- Relevant technical and trial results retained ☐
- Costs can be linked to the underlying R&D ☐

? REVIEW The technical rationale would need to be reconstructed when preparing the claim.

! ACTION Establish an evidence-retention process while the trial is ongoing.

4 Overseas activities & subcontractors

GUIDANCE Restrictions apply to overseas contractor and EPW expenditure. An exception may apply where conditions necessary for the R&D are not present in the UK and it would be wholly unreasonable to replicate them here. Cost or workforce availability alone is not sufficient.

- Location of material R&D activities identified ☐
- Overseas CRO and laboratory activities identified ☐
- UK and overseas activities and costs distinguishable ☐
- EPW location and PAYE/NIC position considered ☐
- Any reliance on the overseas R&D exception documented ☐

? REVIEW Any material R&D activity undertaken overseas.

! ACTION	If relying on the exception, document the necessary overseas conditions when the location decision is made.

5 Before the trial starts

- Who may be entitled to claim the R&D relief? ☐
- Does the CRO contract and surrounding evidence support that position? ☐
- Do you know where the material R&D activities will take place? ☐
- Have the main qualifying costs and significant third-party expenditure been identified? ☐
- Will technical and financial evidence be captured as the trial progresses? ☐

WHAT NEXT?

✔ CHECKED	? REVIEW	! ACTION
Retain and revisit if the trial, CRO arrangements or location changes.	Resolve unclear costs, contracts, locations or evidence while the trial is underway.	Seek specialist review before finalising material contractual or overseas arrangements.

THREE THINGS TO REMEMBER

LOOK BEYOND THE INVOICE	CHECK LOCATION EARLY	CAPTURE EVIDENCE AS YOU GO
A CRO payment alone does not establish whether expenditure qualifies or who may claim.	Where R&D takes place can affect contractor and EPW expenditure.	Contemporaneous evidence is stronger than reconstructing the project later.

PLANNING A CLINICAL TRIAL?

iTax Advisors can review the R&D tax position before CRO contracts and trial arrangements are finalised, helping identify issues early and establish the right evidence trail.

This checklist provides general information only and does not determine eligibility for R&D tax relief. Treatment depends on the relevant R&D activities, expenditure, contractual arrangements, accounting period and applicable legislation.

Technical basis: CTA 2009 R&D provisions, DSIT Guidelines and HMRC Corporate Intangibles Research and Development Manual. November 2026.